WAVERLEY GATEWAY GUIDE

Connecting International Capital

MONACO

Europe

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Monte-Carlo	The Principality's best-known district for luxury hotels, the casino, events and private banking, anchoring Monaco's international brand	Hospitality, luxury retail, events, wealth management
Mareterra seafront district	New district built on reclaimed land, whose property sales lifted state VAT revenue and turned the 2025 budget to surplus	Prime real estate, property services, hospitality
Fontvieille	Business district with offices and light industry, where the government is maintaining the Fontvieille Shopping Centre redevelopment	Light industry, offices, retail redevelopment
La Condamine and Port Hercule	Commercial heart around the main port, where the municipality is restructuring the Condamine market within a record €113 million 2026 budget	Yachting and marine services, retail, food and beverage
Monaco-Ville	Seat of the Prince's Palace, the Government and the National Council, and the reference point for public projects	Public procurement, professional services, tourism
New hospital and mobility projects	Funding for the new Princess Grace Hospital Centre has been raised to €200 million, and the La Brasca park-and-ride project is estimated at €1.2 billion	Construction, healthcare, transport and engineering
Alpes-Maritimes and Liguria labour catchment	Nearly 80% of private-sector employees live in the French Alpes-Maritimes and 9% in Italy, giving firms a wide cross-border talent pool	Back-office services, logistics, cross-border operations

INVESTOR ENTRY ROUTES

- Company formation and business authorisation through the Government's MonEntreprise services, with the Monaco Economic Board supporting foreign investors with introductions and market information
- A 25% corporate income tax applying only to firms earning more than 25% of their turnover outside Monaco, with a two-year exemption for genuinely new businesses, then a phased rise over four years
- No personal income tax or wealth tax for residents, a long-standing draw for entrepreneurs, executives and family offices

- The euro as legal tender under a monetary agreement with the EU, with no currency risk against the euro; ECB policy rates apply, with the deposit rate at 2.50% after the 29 October 2026 meeting
- Inclusion in the EU customs territory, the only non-EU country to have this status, and open access to the Schengen area through France
- Banking and asset management licences in a sector holding €179.6 billion of assets under management, plus Monegasque investment funds with €4.96 billion of net assets

MARKET-ENTRY OBSERVATION

Monaco in November 2026 offers investors a stable constitutional monarchy, strong public finances and a newly strengthened financial reputation. The FATF removed Monaco from its grey list on 31 October 2026, recognising more than two years of reform, including a presumed money-laundering offence, a better-resourced financial regulator and a rise in convictions from 3 in 2021 to 28 in 2025. GDP passed €10 billion for the first time in 2024, reaching €10.24 billion after real growth of 8.8%, led by scientific, technical and support services (€2.4 billion) and finance and insurance (€1.8 billion). Private-sector employment reached a first-quarter record of 63,018 jobs in March 2026, up 2.0% year-on-year, and bank assets under management rose 5.6% to €179.6 billion. The State recorded a €193 million surplus in 2024, and the Constitutional Reserve Fund stood at €7.3 billion at the end of 2024.

Monaco's main structural challenge is sustaining growth on two square kilometres while property and construction activity cycle. Business turnover fell 20.3% year-on-year in the first quarter of 2026, as only 2 new apartments were sold against 42 a year earlier after the Mareterra sales peak, and the 2026 budget projects a modest surplus of €8.8 million, down from €86 million in the amended 2025 budget. The fundamentals remain strong: hospitality, retail and administrative services all grew in early 2026, the Reserve Fund gives exceptional fiscal depth, and the Government is investing in housing, the new hospital and cross-border mobility. Exit from the FATF grey list should also ease banking relationships and support removal from the EU's high-risk list, creating openings for wealth management, family offices and high-value services.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
EU high-risk third-country listing	Monaco was added to the EU anti-money-laundering high-risk list in 2025 and remained on it in early 2026, which requires enhanced due diligence by EU counterparties	FATF exit in October 2026 is the main condition for EU delisting; monitor the next EU update and prepare full KYC documentation for banks
Compliance expectations	After two years of FATF monitoring, regulators and banks apply rigorous checks on source of funds and beneficial ownership	Engage local counsel early and treat robust compliance as an asset that speeds account opening and licensing
Property and construction cycle	New-apartment sales and construction turnover fell sharply in early 2026 after the Mareterra completions	Resale volumes remain near ten-year averages; time entry to the next phase of public and private projects
Space, housing and cost of operation	Office space and housing are scarce and expensive on a two-square-kilometre territory	Use the cross-border labour pool in France and Italy and plan premises well ahead; teleworking rose 8% in 2025
No EU association agreement	Talks with the EU were suspended in 2023, so Monaco-based firms do not have single-market passporting for services	Structure EU-facing regulated activity through an EU entity where needed, while using Monaco for headquarters and wealth functions
Narrow revenue base	VAT provides more than half of State revenue, so budgets swing with property and business activity	The €7.3 billion Constitutional Reserve Fund cushions the State against cyclical shortfalls, and recent budgets have closed in surplus
Transport and commuting	Most of the workforce commutes from France and Italy, putting pressure on roads and rail	Nice–Monaco train frequency is being increased from every 15 to every 10 minutes, and park-and-ride projects are planned

INVESTOR RISK NOTE

Monaco's risk profile is that of a politically stable principality with strong public finances, the euro and close integration with France and the EU customs territory. Prince Albert II is head of state, the Government is led by Minister of State Christophe Mirmand, and the 24-member National Council, presided over by Thomas Brezzo, votes the budget; relations between the two were constructive in 2025–26. The most important development is the FATF's removal of Monaco from its grey list on 31 October 2026. Investors should note that Monaco was on the EU's high-risk third-country list in early 2026, so EU banks and firms must still apply enhanced due diligence until the Commission updates the list; specialist compliance advice remains essential. The near-term economic issue is a slowdown in property and construction activity, which is cushioned by the €7.3 billion Constitutional Reserve Fund and continued growth in tourism, services and employment.

MARKET ACCESS

Monaco is not an EU member, but it is the only non-EU country integrated into the EU customs territory, so goods move freely with France and the wider EU, and its open border with France gives direct access to the Schengen area. The euro is legal tender under a monetary agreement with the EU, removing currency costs for trade and investment across the euro area. Talks on an EU association agreement were suspended in 2023 over Monaco's red lines on residence, employment and housing, so financial and other services are provided to the EU through bilateral arrangements with France and through EU-based entities. Monaco's workforce and supply chains are closely tied to the Alpes-Maritimes and Liguria, with Nice airport and rail links connecting it to European and global markets. Monaco held the Presidency of the Council of Europe's Committee of Ministers from 15 May 2026, raising its diplomatic profile.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Prince's Government (Minister of State Christophe Mirmand)	Sets economic, fiscal and regulatory policy under the authority of Prince Albert II, and led the FATF action plan to completion	Primary reference point for strategic projects and policy dialogue
Monaco Economic Board	Monaco's economic development and business promotion body, connecting foreign investors with local firms and authorities	Standard first point of contact for market entry and networking
Department of Finance and Economy	Oversees the budget, tax, company authorisations and the Constitutional Reserve Fund	Key counterpart on tax, licensing and public-finance matters
Financial regulator (Commission de Contrôle des Activités Financières)	Licenses and supervises asset managers and financial activities, with increased resources since the FATF review	Relevant for wealth management, funds and financial-services licences
Eurosystem and French banking supervision	Monaco has no central bank of its own; ECB monetary policy applies under the EU monetary agreement, and banks operate under Franco-Monegasque supervisory arrangements	Relevant for banking licences, payments and liquidity matters
National Council (President Thomas Brezzo)	Elected parliament that votes the budget and laws, including the 2026 budget passed in December 2025	Useful for understanding legislative priorities on housing, mobility and economic development
Monegasque Institute of Statistics and Economic Studies (IMSEE)	Publishes GDP, employment and quarterly business data	Reliable source for market sizing and due diligence

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Monaco Economic Board is the main business network, organising missions, events and introductions for foreign investors and connecting them with Monegasque companies, professional firms and banks. The Government's MonEntreprise portal guides company formation, authorisations and tax registration, and the Department of Finance and Economy is the counterpart for licensing questions. Monaco's calendar of international sporting, yachting and business events provides regular networking opportunities, and embassies and consulates accredited to Monaco, many of them based in Paris, are useful sources of introductions. Public projects such as the new hospital and State housing are funded from the budget, so procurement is the main route into infrastructure.

INVESTOR PROFILE BEST SUITED

Monaco suits investors seeking a stable, euro-based headquarters and wealth hub with a light tax regime: private banks, asset managers and family offices, now benefiting from the FATF exit; hospitality, luxury retail and events businesses in a market that welcomed more hotel guests in early 2026; construction, engineering and healthcare suppliers targeting the new hospital, housing and mobility projects; and high-value professional, technical and yachting services drawing on the cross-border talent pool. Financial-sector investors should plan for rigorous compliance and track the EU high-risk list update.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Monaco Economic Board and MonEntreprise
Open dialogue on the business model, required authorisations and the corporate tax position, including the new-business exemption.

STEP 2: Confirm the regulatory and compliance pathway
Take local legal advice on licensing, source-of-funds and beneficial-ownership requirements, and prepare full documentation for banking partners.

STEP 3: Track the EU high-risk list update
Monitor the Commission's next revision after the FATF exit, and agree due-diligence arrangements with EU counterparties in the meantime.

STEP 4: Map public project pipelines
Follow tenders linked to the new Princess Grace Hospital Centre, State housing, the Fontvieille redevelopment and mobility projects.

STEP 5: Plan premises, staffing and housing early
Secure office space well ahead, recruit across the French and Italian catchment and use telework and transport links to manage costs.